Two industries are still reserved for the public sector: railway operations and atomic energy. Public-sector monopoly of railway operations has stunted the growth of the Railways in the country. They only carry about 7 per cent of passenger traffic now with the number of passengers declining in absolute numbers. Railways are also losing freight traffic steadily as the bulk of freight traffic has shifted to roads despite their relative inefficiency for bulk traffic. There is no longer any justification to reserve railway operations for the public sector. This monopoly should be disbanded.

Atomic energy is a high-technology sector. In the absence of development of cost-effective, indigenous commercial atomic power generation technology, India has opted to find global technologies to generate atomic power. While some success has been seen in building atomic power reactors with Russian technology, there has not been much headway in joint ventures contemplated with the Americans and French. Collaboration with the Russians has also been downscaled. Incidentally, the American and French companies approached are in the private sector. There is no technological and commercial gain in keeping atomic energy reserved for the public sector. It should also be deleted from the reserved list.

Indeed, it is time to close the chapter of reservation for the public sector in India fully and formally.

The most appropriate thing left to do is to simply repeal IDRA-1951.

Public-Sector Enterprises Require Massive Reforms of their Governance

The normal mode of doing business in corporations is to entrust management to their boards of directors for policy and strategy and to chief executives for operations. The owners remain either pure investors without interfering in the operations and management of the company or, if they intend to partake in the management of the company, they join the board of directors and assume operational roles as well. The Government of India, as